

TITAN COMPANY LIMITED

Integrated Three-Statement Model & DCF Valuation

FY22A-FY26A actuals | FY27E-FY31E forecast | Consolidated | INR crore

Model report | V8 rebuild | 29 September 2026

Executive summary

This report documents a rebuilt, fully linked three-statement model of Titan Company Limited (consolidated) and the discounted-cash-flow valuation derived from it. Under the Base scenario, revenue grows from INR 87,584 cr in FY26A to INR 166,964 cr in FY31E (13.8% CAGR), EBITDA margin moves from 9.5% to 10.2%, and PAT reaches INR 10,454 cr. The DCF (WACC 11.27%, terminal growth 5.0%) gives an enterprise value of INR 97,506 cr and a value of INR 995 per share; the exit-multiple cross-check (25x FY31E EV/EBITDA) gives INR 2,861. Both are well below the market price of INR 4,798.5 used in the model.

Metric	Bear	Base	Bull
Revenue FY31E (INR cr)	128,657	166,964	188,412
Revenue CAGR FY26A-FY31E	8.0%	13.8%	16.6%
EBITDA margin FY31E	8.4%	10.2%	11.4%
PAT FY31E (INR cr)	5,711	10,454	13,676
Cumulative free cash flow FY27E-31E (INR cr)	17,567	29,795	36,148
Enterprise value, Gordon (INR cr)	52,270	97,506	128,758
Value per share, Gordon growth (INR)	486	995	1,347
Value per share, exit multiple (INR)	1,374	2,861	4,350

Scenario snapshots are model outputs under the Bear / Base / Bull driver sets. Market price INR 4,798.5 (NSE close 21 Sep 2026, per a public quote page) is an input and should be refreshed.

Key messages

- **The model now works end to end.** The balance sheet balances by construction in all ten years, closing cash ties to the cash flow statement, and all 23 integrity checks pass. The V7 workbook did not: gold on loan collapsed to INR 24.75 cr, lease liabilities were nil, DCF tax was zero and the balance sheet was out by roughly INR 2,800-3,100 cr a year.
- **Titan's reported cash flow is flattered by gold on loan.** Gold-on-loan inflows of INR 7,304 cr exceeded FY26A CFO of INR 5,590 cr; excluding them, free cash flow was negative (INR -2,616 cr). The model therefore shows free cash flow both with and without this financing item.
- **The market price implies far more than the base case.** At the model WACC the market price is only justified by an FY31E exit multiple of about 42x EV/EBITDA, against 25x in the Base case. Terminal value is 69% of enterprise value, so the conclusion is sensitive to WACC, growth and margin inputs.
- **Assumptions are illustrative.** Forecast drivers are the author's assumptions, not Titan guidance, and the report is not investment advice.

1. Scope, sources and model architecture

The model covers Titan Company Limited on a consolidated basis, in INR crore, for the fiscal years ending 31 March. Historical data (FY22A-FY26A) come from the audited consolidated financial statements in Titan's annual reports; FY25 and FY26 lines were re-verified against the FY2025-26 report, and Notes 24 (finance costs by type) and 25 (depreciation split) were used to calibrate the forecast interest and depreciation rates. Forecasts (FY27E-FY31E) are driver-based.

Calculation flow

Inputs	IS drivers	Schedules	CF	BS	DCF	Sensitivity / Scenarios	Checks / Summary
--------	------------	-----------	----	----	-----	-------------------------	------------------

Design principles

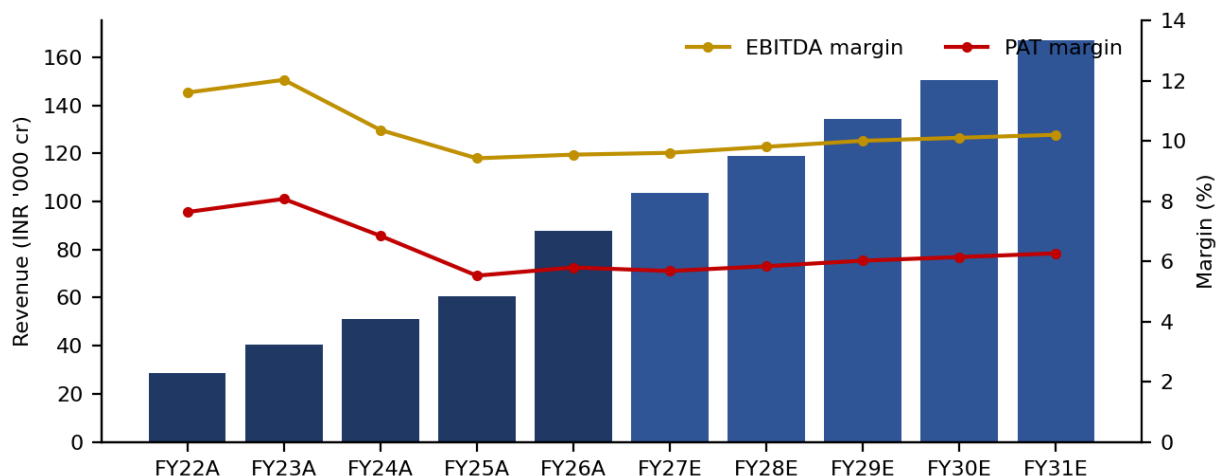
- **One timeline.** Every time-series sheet uses identical columns (C-G actuals, H-L forecast), so cross-sheet links are position-consistent and auditable.
- **One place for assumptions.** All drivers sit on the Inputs sheet, with Bear / Base / Bull rows feeding a live row through a 1-2-3 selector. No constants are buried in formulas.
- **No plug.** Cash comes only from the cash flow statement; every other balance sheet line comes from a schedule. Short-term borrowings act as the revolver to hold minimum cash. Balance is proven on the Checks sheet rather than forced.
- **No circularity.** Interest is charged on opening balances, with rates calibrated on the same basis, so no iterative calculation is needed.
- **Consistent colour code.** Blue = input, black = formula, green = cross-sheet link, yellow fill = key control.

Workbook map

Sheet	Purpose
Summary / Cover	Headline outputs, key metrics, charts, navigation
Inputs	All assumptions, scenario selector (1/2/3), gold-on-loan switch (1/2), valuation inputs
IS / BS / CF	Three statements, FY22A-FY31E
Schedules	Working capital, fixed assets and ROU, debt / gold loan / leases, treasury, equity, ratios
DCF	WACC, unlevered FCF, fade period, terminal value, equity bridge, exit-multiple check, reverse DCF
Sensitivity / Scenarios	WACC x growth and WACC x exit-multiple grids; Bear / Base / Bull comparison
Checks	23 integrity checks with overall status
PowerBI_Export / Hist_Data / Notes	Flat export table; as-reported source data; methodology and change log

2. Historical performance, FY22A-FY26A

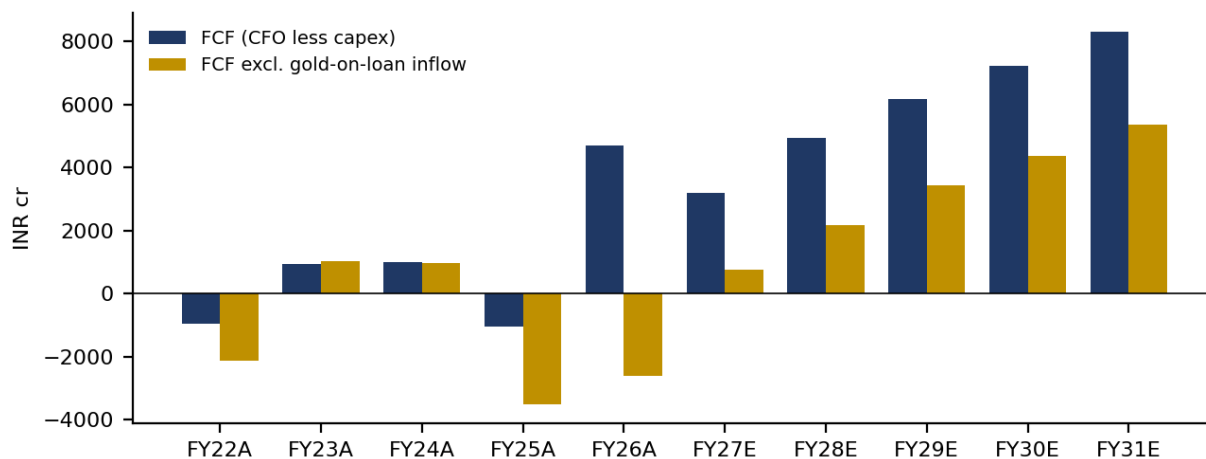
Revenue rose from INR 28,799 cr to INR 87,584 cr (32.1% CAGR), with growth of 44.9% in FY26A. Growth was accompanied by a falling gross margin (24.9% in FY22A to 19.7% in FY26A), consistent with a rising share of lower-margin gold jewellery in the mix, partly offset by operating leverage: employee cost fell from 4.7% to 3.1% of revenue and other expenses from 8.6% to 7.1%. EBITDA margin (excluding other income) therefore compressed from 11.6% to 9.5%.



Revenue (bars, actual in dark blue, forecast in mid blue) and margins. Source: model IS sheet.

Balance sheet and financing

Inventories grew from INR 13,609 cr to INR 42,743 cr, roughly 220 days of cost of goods. Gold on loan, which finances part of that inventory, rose from INR 7,810 cr to INR 16,070 cr in FY26A, and borrowings from INR 518 cr to INR 11,378 cr. Net debt including gold on loan and leases reached INR 26,455 cr, or 3.2x EBITDA, and interest cover (EBIT / finance costs) fell from 13.5x to 6.4x. Return on average equity remained high (37.1% in FY26A) but ROIC on invested capital that includes gold on loan and leases was 15.7%.



Free cash flow with and without gold-on-loan inflows. Reported CFO includes changes in gold on loan (Ind AS classification followed by Titan).

3. Forecast framework and Base-case assumptions

Each driver has explicit Bear, Base and Bull values by year; the selector on the Inputs sheet chooses among them. Base-case values for the five forecast years are shown below. Common drivers (working-capital ratios other than inventory and payable days, depreciation rates, lease and treasury parameters, tax, payout) are identical across scenarios.

Base-case driver	FY27E	FY28E	FY29E	FY30E	FY31E
Revenue growth	18.0%	15.0%	13.0%	12.0%	11.0%
Gross margin	19.7%	19.8%	19.9%	20.0%	20.0%
Employee cost % revenue	3.00%	2.95%	2.90%	2.90%	2.85%
Other expenses % revenue	7.10%	7.05%	7.00%	7.00%	6.95%
Capex % revenue	1.20%	1.20%	1.20%	1.20%	1.20%
Inventory days	220	220	220	220	220
Payable days	15	15	15	15	15
Gold on loan % inventories	37.0%	37.0%	37.0%	37.0%	37.0%
Interest rate on borrowings	5.80%	5.80%	5.80%	5.80%	5.80%

Bear and Base differ mainly in growth (7-10% vs 11-18%), gross margin (about 19% vs 19.7-20%), inventory days (235-240 vs 220) and gold-on-loan funding (33% vs 37% of inventory). Full three-way tables are on the Inputs sheet.

Calibration

- **Interest.** FY26 Note 24 shows interest of INR 610 cr on borrowings, INR 320 cr on gold on loan and INR 247 cr on leases. On average balances these are about 5.6%, 2.7% and 8.4%. Forecast rates are charged on opening balances and set slightly higher (5.8%, 2.9%, 9.0%) because opening balances lag a growing book.
- **Depreciation.** PP&E, right-of-use assets and intangibles are rolled forward separately using Note 25 rates. Intangible amortisation is set below the FY26 implied rate because the FY26 base includes newly acquired intangibles.
- **Other income.** Forecast as a yield on opening cash, treasury investments and non-current investments, and excluded from EBIT and from the DCF (treasury assets are added in the equity bridge instead).
- **Leases.** New leases add equally to ROU assets and lease liabilities; interest accretes and cash payments run at a percentage of the opening liability.

4. Financial statements (Base case)

Income statement

INR cr	FY22A	FY23A	FY24A	FY25A	FY26A	FY27E	FY28E	FY29E	FY30E	FY31E
Revenue	28,799	40,575	51,084	60,456	87,584	103,349	118,851	134,302	150,418	166,964
growth		40.9%	25.9%	18.3%	44.9%	18.0%	15.0%	13.0%	12.0%	11.0%
Gross profit	7,158	10,220	11,652	13,000	17,277	20,360	23,533	26,726	30,084	33,393
gross margin	24.9%	25.2%	22.8%	21.5%	19.7%	19.7%	19.8%	19.9%	20.0%	20.0%
EBITDA (operating)	3,341	4,879	5,292	5,694	8,355	9,922	11,647	13,430	15,192	17,030
margin	11.6%	12.0%	10.4%	9.4%	9.5%	9.6%	9.8%	10.0%	10.1%	10.2%
Depreciation & amortisation	399	441	584	693	826	1,136	1,356	1,598	1,857	2,132
EBIT (operating)	2,942	4,438	4,708	5,001	7,529	8,786	10,291	11,832	13,336	14,899
Other income	234	308	533	486	552	488	532	594	657	722
Finance costs	218	300	619	953	1,180	1,412	1,528	1,593	1,615	1,607
Profit before tax	2,904	4,447	4,623	4,535	6,801	7,863	9,295	10,834	12,378	14,014
Tax	706	1,173	1,127	1,198	1,728	1,997	2,361	2,752	3,144	3,560
Profit after tax	2,198	3,274	3,496	3,337	5,073	5,865	6,934	8,082	9,234	10,454
margin	7.6%	8.1%	6.8%	5.5%	5.8%	5.7%	5.8%	6.0%	6.1%	6.3%
EPS (INR, model basis)	24.8	36.9	39.4	37.6	57.1	66.1	78.1	91.0	104.0	117.8

Balance sheet

INR cr	FY22A	FY23A	FY24A	FY25A	FY26A	FY27E	FY28E	FY29E	FY30E	FY31E
Total non-current assets	3,740	4,616	5,942	6,213	9,780	10,918	12,177	13,533	14,986	16,527
Inventories	13,609	16,584	19,051	28,184	42,743	50,021	57,452	64,840	72,531	80,509
Trade receivables	565	674	1,018	1,068	916	1,133	1,302	1,472	1,648	1,830
Other current assets	1,692	1,642	2,347	2,261	2,956	3,514	4,041	4,566	5,114	5,677
Treasury investments & bank	1,369	3,275	2,783	2,514	3,293	3,617	4,160	4,701	5,265	5,844
Cash & equivalents	219	232	409	407	873	1,033	1,189	1,343	1,504	1,670
Total assets	21,194	27,023	31,550	40,647	60,561	70,236	80,321	90,455	101,048	112,056
Total equity	9,333	11,904	9,393	11,624	15,703	20,199	25,549	31,759	38,811	46,772
Borrowings	518	2,195	7,838	10,286	11,378	11,692	10,843	9,145	6,791	3,715
Gold on loan	5,398	5,299	5,341	7,810	16,070	18,508	21,257	23,991	26,836	29,788
Lease liabilities	1,359	1,873	2,349	2,681	3,173	3,477	3,866	4,320	4,830	5,389
Trade payables	1,294	1,214	1,410	1,963	2,864	3,411	3,917	4,421	4,945	5,489
Other liabilities & provisions	3,292	4,538	5,219	6,283	11,373	12,951	14,888	16,820	18,834	20,903
Total equity & liabilities	21,194	27,023	31,550	40,647	60,561	70,236	80,321	90,455	101,048	112,056
Check (must be zero)	-	-	-	-	-	-	-	-	-	-

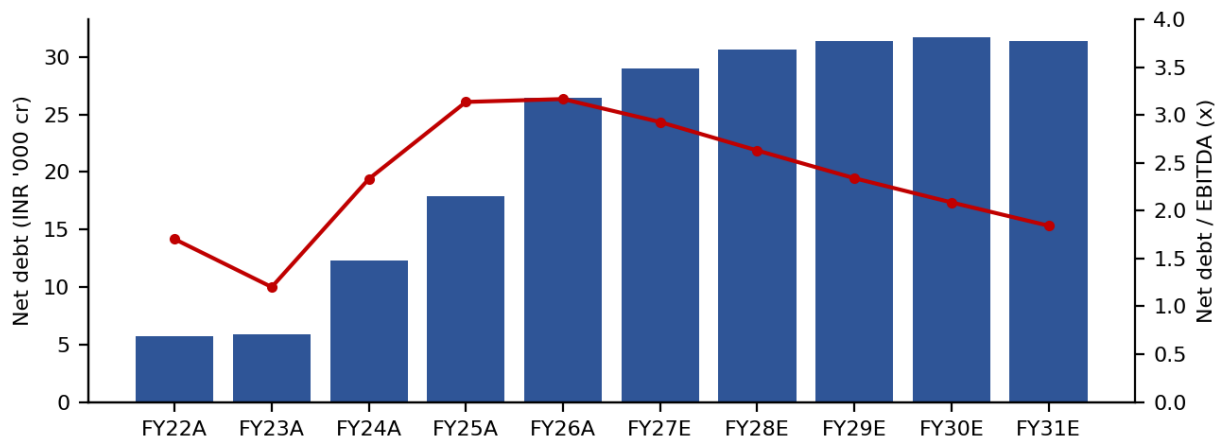
Cash flow statement

INR cr	FY22A	FY23A	FY24A	FY25A	FY26A	FY27E	FY28E	FY29E	FY30E	FY31E
Operating profit before working capital	3,299	4,937	5,404	5,774	8,447	9,922	11,647	13,430	15,192	17,030
Working-capital changes (incl. gold)	(3,221)	(2,413)	(2,536)	(5,226)	(1,120)	(3,491)	(2,934)	(2,914)	(3,031)	(3,158)
Direct taxes paid	(802)	(1,154)	(1,173)	(1,089)	(1,737)	(1,997)	(2,361)	(2,752)	(3,144)	(3,560)
Cash from operations (CFO)	(724)	1,370	1,695	(541)	5,590	4,434	6,352	7,765	9,018	10,313
Capex	(224)	(432)	(691)	(494)	(902)	(1,240)	(1,426)	(1,612)	(1,805)	(2,004)
Cash from investing	1,164	(1,811)	(189)	546	(2,934)	(1,076)	(1,437)	(1,558)	(1,712)	(1,860)
Cash from financing	(403)	457	(1,329)	(7)	(2,159)	(3,197)	(4,760)	(6,052)	(7,145)	(8,287)
Net change in cash	37	16	177	(2)	497	160	155	155	161	165
Closing cash	219	232	409	407	873	1,033	1,189	1,343	1,504	1,670
Free cash flow (CFO - capex)	(948)	938	1,004	(1,035)	4,688	3,194	4,926	6,153	7,213	8,309
FCF excl. gold-on-loan inflow	(2,136)	1,037	962	(3,503)	(2,616)	756	2,176	3,419	4,367	5,357

Statements are condensed for presentation; full line detail is on the IS, BS and CF sheets. Working-capital line is the sum of receivable, inventory, other-asset, gold-on-loan, payable and other-liability movements.

5. Cash flow, leverage and returns

Base-case CFO builds from INR 4,434 cr in FY27E to INR 10,313 cr in FY31E as inventory investment moderates relative to profit growth. Because gold on loan is held at 37% of inventory, it continues to fund roughly a third of inventory growth (INR 2,438 cr in FY27E). Excluding that inflow, free cash flow turns positive in FY27E and reaches INR 5,357 cr by FY31E. The revolver (short-term borrowings) is repaid progressively, so total borrowings fall from INR 11,378 cr to INR 3,715 cr, while net debt including gold on loan and leases stays near INR 31,379 cr and net debt / EBITDA falls from 3.2x to 1.8x.



Net debt includes borrowings, gold on loan and lease liabilities, net of cash, bank balances and current investments.

Ratio	FY22A	FY23A	FY24A	FY25A	FY26A	FY27E	FY28E	FY29E	FY30E	FY31E
ROE		31%	33%	32%	37%	33%	30%	28%	26%	24%
ROIC		20%	18%	14%	16%	14%	15%	15%	15%	15%
Net debt / EBITDA (x)	1.7	1.2	2.3	3.1	3.2	2.9	2.6	2.3	2.1	1.8
EBIT / finance costs (x)	13.5	14.8	7.6	5.2	6.4	6.2	6.7	7.4	8.3	9.3
Inventory days	230	199	176	217	222	220	220	220	220	220
CFO / EBITDA	-22%	28%	32%	-10%	67%	45%	55%	58%	59%	61%

6. DCF valuation

Method

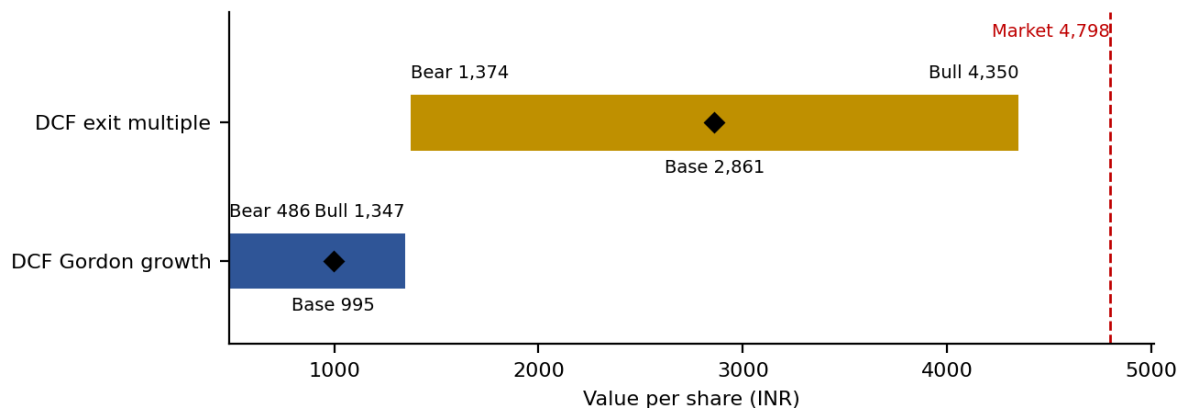
Unlevered free cash flow (NOPAT + D&A - capex - new leases - increase in operating working capital) is discounted at a WACC of 11.27% (cost of equity 11.90% from CAPM with risk-free 6.5%, ERP 6.0%, beta 0.9; pre-tax cost of debt 7.5%; 10% target debt weight). Year-end discounting runs from the 31 March 2026 balance sheet date. A five-year explicit period is followed by a five-year value-driver fade, in which growth declines linearly to the 5% terminal rate and reinvestment equals growth divided by a 20% return on new invested capital, and then a Gordon-growth terminal value.

Gold on loan is treated as operating by default: netted in working capital, its interest deducted from EBIT, and not deducted in the equity bridge. A switch on the Inputs sheet re-runs the DCF with gold on loan treated as debt-like (excluded from working capital and deducted in the bridge); both treatments are internally consistent and should be tested.

Item	INR cr
PV of explicit-period UFCF (FY27E-FY31E)	13,530
PV of fade-period cash flows (FY32E-FY36E)	17,177
PV of terminal value	66,799
Enterprise value	97,506
Add: cash, treasury investments and non-current investments	5,423
Less: borrowings and lease liabilities	(14,551)
Equity value	88,378
Shares outstanding (crore)	88.78
Value per share (INR), Gordon growth	995
Market price (INR)	4,798.5
Upside / (downside)	-79.3%

Cross-check and diagnostics

The exit-multiple method (25x FY31E EBITDA of INR 17,030 cr, plus five years of explicit cash flow) gives INR 2,861 per share, about three times the Gordon value. The gap is itself informative: 25x EBITDA in FY31E embeds growth and returns well above what a 5% perpetuity with a 20% RONIC supports. The Gordon result implies EV / FY27E EBITDA of 9.8x and P/E of 15.1x, against a market-implied EV / FY27E EBITDA of 43.9x. A reverse DCF shows the market price requires an FY31E exit multiple of about 42x at the model WACC.



Bear-to-Bull range of value per share under each terminal-value method; diamond marks the Base case; dashed line is the market price.

7. Sensitivity and scenario analysis

Value per share (INR): Gordon growth. WACC (rows) x terminal growth (columns)

WACC \ g	4.0%	4.5%	5.0%	5.5%	6.0%
10.27%	1,118	1,175	1,242	1,323	1,422
10.77%	1,011	1,056	1,108	1,170	1,244
11.27%	918	954	995	1,044	1,101
11.77%	838	867	900	938	982
12.27%	769	792	818	849	883

Value per share (INR): exit multiple. WACC (rows) x FY31E EV/EBITDA (columns)

WACC \ multiple	20.0x	22.5x	25.0x	27.5x	30.0x
10.27%	2,407	2,702	2,996	3,290	3,584
10.77%	2,352	2,640	2,928	3,215	3,503
11.27%	2,299	2,580	2,861	3,142	3,424
11.77%	2,247	2,522	2,797	3,072	3,347
12.27%	2,196	2,465	2,734	3,003	3,272

The centre cell of each grid equals the corresponding DCF sheet output (verified on the Checks sheet). Grids are live formulas, not Excel data tables.

Scenario comparison

Metric	Bear	Base	Bull
Revenue FY31E	128,657	166,964	188,412
Revenue CAGR FY26A-FY31E	8.0%	13.8%	16.6%
EBITDA margin FY31E	8.4%	10.2%	11.4%
EBIT margin FY31E	7.0%	8.9%	10.1%
PAT FY31E	5,711	10,454	13,676
EPS FY31E	64.3	117.8	154.0
Cumulative CFO FY27E-FY31E	23,183	37,881	46,429
Cumulative free cash flow FY27E-FY31E	17,567	29,795	36,148
Net debt incl. gold on loan & leases FY31E	34,139	31,379	30,249
Enterprise value - Gordon	52,270	97,506	128,758
Value per share - Gordon DCF	486	995	1,347
Value per share - exit-multiple DCF	1,374	2,861	4,350
Upside / (downside) vs market - Gordon	-89.9%	-79.3%	-71.9%
Upside / (downside) vs market - exit multiple	-71.4%	-40.4%	-9.3%

Bear / Base / Bull columns are stored values from running the model under each selector setting; the workbook flags when they are stale.

8. Model integrity and audit of the previous version

The Checks sheet tests, for every year where applicable: balance sheet balance; cash flow closing cash against balance sheet cash; model PAT, PBT, total assets, total liabilities, CFO and net change in cash against reported historicals; PP&E, equity, lease, debt and gold-on-loan schedules against the balance sheet; minimum cash; non-negative revolver; positive EBIT; a finance-cost sanity band; and single-value checks on the selector, gold-on-loan switch, WACC above growth, sensitivity centres and the equity bridge. All 23 pass in the delivered workbook, including under a stress test (Bull scenario with gold on loan treated as debt-like).

Defects found in V7 and corrected in V8

#	Defect in V7	Effect
1	Gold-on-loan forecast multiplied inventory by an interest-rate cell instead of the gold-on-loan ratio	Gold on loan fell from INR 16,070 cr to INR 24.75 cr; also flowed into the Power BI CSV
2	Opening lease liability linked to an empty cell	Lease liabilities zero in every forecast year
3	DCF tax on EBIT linked to a blank assumption cell	Tax on EBIT of zero; NOPAT equal to EBIT
4	Balance sheet forced to a disclosed residual rather than balanced	Imbalance of about INR 2,800-3,100 cr a year
5	Forecast P&L year labels shifted by one year	FY27E figures headed FY28E
6	Uncalibrated rates (8.5% / 6.5% interest, 30 payable days) and constants inside formulas	Overstated finance costs and payables; not auditable
7	Scenario DCF held separate hard-wired copies of the valuation logic	Scenario outputs could diverge from the main model
8	Template workbook: summary linked to non-existent sheet names; hard-coded INR 3,945 price	Broken references; not used as a base

Limitations and items to verify

- Forecast drivers are illustrative; they are not Titan management guidance and should be replaced with the user's own view.
- The share count (88.78 crore) is approximate and should be confirmed against Note 28 of the annual report; the market price is an input to refresh.
- Q1 FY27 results (reported 7 August 2026) post-date the last annual report and are not in the model.
- The model is consolidated. Segment economics (jewellery, watches, eyecare, others) are not modelled; margins and cost ratios stand in for mix.
- Terminal value is about two-thirds of enterprise value; results are highly sensitive to WACC, terminal growth and the RONIC assumption.
- Bear / Base / Bull columns are a stored snapshot and must be refreshed after any input change.

Disclaimer: This report and the accompanying workbook are for educational and portfolio purposes only. They are not investment advice, a research recommendation, a price target or a representation of Titan Company Limited's management forecasts.